

DEBT & EQUITY

Scale Lending's \$45M Harlem Condo Loan: A Bet on Scarcity, Not Momentum

The construction loan signals private credit's appetite for supply-constrained urban infill, not a broad condo rebound.

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A source-grounded Light Tower Insight.

A credit committee reviewing a \$45 million construction loan for a 72-unit condo building in Harlem would have to answer one question before any other: Is this a bet on New York City condominium demand, or a bet on the absence of competing supply?

The answer determines whether the loan is speculative or structural. Scale Lending, the private credit arm of Slate Property Group, has made its choice clear. By financing Mass Development's 11-story project at 264-272 West 135th Street, Scale is underwriting scarcity, not momentum.

Martin Nussbaum, Slate's co-founder, stated the thesis directly: Harlem is one of the most supply-constrained condo markets in New York City, with no new project of comparable scale or quality delivered in years and an effectively empty pipeline. That is not a demand forecast. It is a supply-side argument. And for a construction lender, it is the safer half of the underwriting.

The loan carries a 30-month term with two six-month extension options, floating-rate pricing, and a total commitment of \$45 million. Mass Development acquired the site for \$9.3 million last year from Rabina. The site previously held two low-rise retail buildings. The new building will rise 11 stories, with 72 condos ranging from studios to three-bedroom units, 12,000 square feet of retail, and a 15,000-square-foot community space already leased to an undisclosed day care operator. Completion is slated for summer 2028.

The capital story here is not that construction lending has returned to New York City. It is that private credit has become the marginal source of construction debt for projects that fit a narrow profile: infill locations, credible sponsors, and a basis that allows the lender to underwrite downside before upside. Scale Lending is not a bank. It does not face the same regulatory pressure on construction exposure. It can price for risk, structure for control, and extend when the project timeline slips.

The floating-rate structure matters. In a construction loan, floating-rate debt transfers interest

rate risk from the lender to the borrower during the development phase. The borrower must absorb any rise in SOFR before the units sell. That is a deliberate allocation of risk. Scale is saying: we will provide the capital, but you carry the rate exposure until you deliver and sell. The two six-month extension options give the borrower time, but at a cost that is likely priced into the spread.

The site basis is instructive. Mass Development paid \$9.3 million for the land last year. Against a \$45 million loan, that implies a loan-to-cost ratio that leaves meaningful equity in the deal. The developer is not over-levered from the start. That gives the lender a cushion if the project takes longer to sell or if unit prices soften. The lender is not betting on a rising market. It is betting that a well-capitalized sponsor can execute a project in a market where no one else is building.

The community space lease to a day care operator is a small but revealing detail. It provides a known income stream from the first two floors before any condo closes. That reduces the carrying cost during the lease-up period. It also signals that the retail component is not speculative. The lender can model a baseline of cash flow from the ground floor even if the residential sales take longer than expected.

Arrow Real Estate Advisors arranged the debt, with a team led by Morris Betesh and Omar Ferreira. The placement reflects the current state of the construction debt market: bank lenders remain selective, agency capital does not finance condos, and private credit fills the gap for projects that meet a specific risk-return profile. The borrower pays a higher all-in cost than a bank loan would have commanded two years ago, but the capital is available.

What this deal does not prove is that the New York City condo market has recovered. It proves that a project with a low land basis, a credible sponsor, and a supply-constrained location can attract construction financing from a private lender willing to underwrite scarcity. That is a narrower signal than a broad market rebound. It is also a more durable one.

The market should test whether other developers can replicate this structure. The key

variables are land basis, sponsor equity, and the absence of competing pipeline. Projects that clear those hurdles will find capital. Projects that rely on demand growth alone will wait longer. Scale Lending's decision is not a vote of confidence in the cycle. It is a vote of confidence in a specific basis and a specific market structure.

The loan closes with a clear allocation of risk: the lender provides the capital, the borrower carries the rate exposure, and both parties bet that no one else builds anything comparable in Harlem before 2028. That is not a speculative bet. It is a structural one. And in a market where construction lending remains constrained, structural bets are the only ones getting financed.